

know” is lying. They CANNOT know, and even worse, they are often unaware of their own ignorance (more on this in our discussions on the Dunning-Kruger effect later). Perhaps worst of all, they mislead the viewer into thinking that they, the expert, does know, and that you, the home viewer, does not ... and therefore, you should *BUY MY PRODUCT*.

That twitch is not why I answer the way I do (though it is amusing). Rather, it is the proper answer—a reflection of accepting a simple reality denied by most people in finance.

There are tremendous advantages in recognizing what you do not know. Acknowledging shortcomings in your informational intelligence is a form of *situational awareness* that prevents you from being blindsided.

There are other benefits as well. It shifts your focus to *process over outcome*; you can better understand what results come from *skill* versus *dumb luck*. It prevents you from being *fooled by randomness*. And as history constantly informs us, repeatable results that are the result of a process are vastly superior to lucky but random outcomes.

This is a valuable trait, a reflection of a more insightful set of perspectives than you might realize. I once had a branding expert tell me (more or less), “You moved into the niche market of ‘Truth’ because the larger firms abandoned it for more lucrative fields.”

I doubt that—the genesis of my approach was not marketing schtick. It was a simple acknowledgment of reality, which leads to smarter planning and better outcomes. It might be more challenging to sell to people—it ain’t slick, does not lend itself to glossy brochures, and is hard to put in a tagline.

But it works. Want to be a better investor? Ask yourself what you don’t know.



Knowing what you don’t know is important, because salespeople use the nervousness around it to sell their wares. We will soon see how saying “I